

24STCV20233 24STCV20233

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Case Number: 24STCV20233 Hearing Date: August 28, 2026 Dept: 617

Dept.

617

Date:

8-28-26

Case

#: 24STCV20233

Trial

Date: None Set

DEMURRER

MOVING

PARTY: Defendant, O'Gara Coach Company, LLC

RESPONDING

PARTY: Unopposed/Plaintiffs, Sarkis Grigoryan and Arshak Grigoryan

RELIEF

REQUESTED

Demurrer

to Complaint

SUMMARY

OF ACTION

Plaintiffs

Sarkis Grigoryan and Arshak Grigoryan allege that they purchased a used Lamborghini Urus from Defendant O'Gara Coach Company, LLC based on representations from Defendant's representative, Feng Li. According to Plaintiffs, Li stated the used Urus needed to be purchased before buying a new one and that Defendant would repurchase or market the used car at the purchase price once the new Urus was available to be delivered.

After

Plaintiffs returned the used Urus to Defendant for marketing and resale, Plaintiffs were informed that the production order for the new Urus had not been placed and that the car would not be available for purchase because Lamborghini no longer produced the model. To buy a Urus, Plaintiffs would have to purchase the more expensive Performante model. Plaintiffs agreed to do so. Plaintiffs were later informed that their used car was vandalized while it was parked outside Defendant's showroom and Plaintiffs decided to take it back. Defendant then notified them that the Performante model would not be delivered to Plaintiffs but instead sold to another buyer. On August 12, 2024, Plaintiffs sued Defendant for: (1) Breach of Contract-Used Car; (2) Breach of Contract-New Car; (3) Breach of Consignment Agreement; (4) Negligence; and (5) Fraud.

RULING: Sustained in part.

Defendant demurs to Plaintiffs'

complaint, arguing that Plaintiffs fail to state their claims. Plaintiffs do not oppose the demurrer. The demurrer is sustained with leave to amend as to the breach of used and new car contract claims and overruled as to the breach of consignment agreement, negligence, and fraud claims.

A

demurrer is an objection to a pleading, the grounds for which are apparent from either the face of the complaint or a matter of which the court may take judicial notice. (Code Civ. Proc., § 430.30, subd. (a); see also *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) The purpose of a demurrer is to challenge the sufficiency of a pleading "by raising questions of law." (*Postley v. Harvey* (1984) 153 Cal.App.3d 280, 286.) "In the construction of a pleading, for the purpose of determining its effect, its allegations must be liberally construed, with a view to substantial justice between the parties."

(Code Civ. Proc., § 452.) The court “treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law” (Berkley v. Dowds (2007) 152 Cal.App.4th 518, 525.) In applying these standards, the court liberally construes the complaint to determine whether a cause of action has been stated. (Picton v. Anderson Union High School Dist. (1996) 50 Cal.App.4th 726, 733.) “If the complaint states a cause of action under any theory, regardless of the title under which the factual basis for relief is stated, that aspect of the complaint is good against a demurrer.” (Quelimane Co. v. Stewart Title Guaranty Co. (1998) 19 Cal.4th 26, 38.)

First

through Third Causes of Action: Breach of Used and New Car Contracts and Consignment Agreement

Defendant

argues that Plaintiffs fail to state their breach of used and new car contracts and consignment agreement causes of action because the claims are based on written contracts, but Plaintiffs do not attach them to the complaint or plead their terms verbatim. Defendant further contends that Plaintiffs do not allege Defendant’s breach of the contracts.

To

state a cause of action for breach of contract, a plaintiff must plead: (1) the contract; (2) plaintiff’s performance or excuse for nonperformance; (3) defendant’s breach; and (4) resulting damage. (Otworth v. Southern Pacific Transportation Co. (1985) 166 Cal.App.3d 452, 458.) “[T]he complaint must indicate on its face whether the contract is written, oral, or implied by conduct. (Id. at pp. 458-59.) “If the action is based on an alleged breach of a written contract, the terms must be set out verbatim in the body of the complaint or a copy of the written instrument must be attached and incorporated by reference.” (Id. at p. 459.)

The

demurrer is sustained as to the breach of used and new car contract claims. The breach of used car contract claim is based on a written Retail Installment Sales Contract, but the writing is not attached to the complaint. [Compl. ¶ 35.] It is also unclear if the breach of new car contract claim is based on a written or oral contract as Plaintiffs reference the deal sheet but do not

attach it. [Id. ¶ 49.] Because there is a reasonable possibility that Plaintiffs can amend their complaint to cure this defect, they are granted leave to amend.

On

the other hand, Plaintiffs' allegations indicate that the consignment agreement was an oral contract whereby Defendant agreed to market and sell the used Urus.

[Compl. ¶¶ 61-63.] The agreement was breached when Defendant failed to market the vehicle as promised. [Id. ¶ 69.] The demurrer to this claim is therefore overruled.

Fourth

Cause of Action: Negligence

Defendant

argues that Plaintiffs' negligence claim fails because they fail to allege Defendant owed them a duty of care and that Defendant breached that duty. Defendant also contends that Plaintiffs' claim is barred by the economic loss rule.

The

demurrer to the negligence claim is overruled. Plaintiffs have sufficiently alleged Defendant's duty and breach. The elements of a cause of action for negligence are: "(a) a legal duty to use due care; (b) a breach of such legal duty; [and] (c) the breach as the proximate or legal cause of the resulting injury." (Ladd v. County of San Mateo (1996) 12 Cal.4th 913, 917.) Plaintiffs allege Defendant's duty to use due care in the maintenance of the used Urus under the consignment agreement and its subsequent breach by placing the vehicle on an outside lot leading it to be vandalized. [Compl. ¶ 82.] The claim is also not barred by the economic loss rule. That rule bars tort recovery for "negligently inflicted 'purely economic losses,' meaning financial harm unaccompanied by physical or property damage." (Sheen v. Wells Fargo Bank, N.A. (2022) 12 Cal.5th 905, 922.) Here, Plaintiffs allege property damage in the form of vandalism to their car, bringing their claim outside the scope of the economic loss rule. The demurrer to this claim is thus overruled.

Fifth

Cause of Action: Fraud

Defendant

argues that Plaintiffs fail to state a cause of action for fraud because they do not allege that Li's statements were false and that Li intended to deceive them. It further contends that the claim fails because Plaintiffs only financed the used Urus, they did not enter into the consignment agreement until a year later, and they do not allege justifiable reliance on the representations of Li and another representative as well as their resulting damages.

"The elements of fraud, which give rise to the tort action for deceit, are (a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (Lazar v. Superior Court (1996) 12 Cal.4th 631, 638.) Fraud must be pled with specificity; conclusory allegations are insufficient. (Id. at p. 645.) This requires "pleading facts which show how, when, where, to whom, and by what means the representations were tendered." (Ibid.)

The demurrer to the fraud claim is overruled because Plaintiffs allege the challenged elements. Plaintiffs' claim is premised in part on Defendant fraudulently inducing them to purchase the used Urus. Li represented to Plaintiffs that to purchase a new Urus, Plaintiffs needed to purchase a used one and that Defendant would repurchase or market the car at the purchase price. [Compl. ¶¶ 87-91.] These representations were false because no purchase order was placed for the new Urus and Defendant did not aggressively market the used car. [Id. ¶¶ 92-97, 105-11.] Defendant's intent to defraud Plaintiffs can be inferred from the failure to place the purchase order and market the car. (Lovejoy v. AT&T Corp. (2001) 92 Cal.App.4th 85, 96 [intent to defraud and reliance inferred from allegations in complaint].) Plaintiffs justifiably relied on Li's representations because they were provided a deal sheet, specification page, and contact information which enabled them to track the production and transportation of the new Urus. [Compl. ¶ 14.] And Plaintiffs suffered damages in the form of purchasing a car they would not have otherwise bought and the loss of its value due to vandalism. [See id. ¶¶ 105-06, 111.] These allegations are sufficient to plead Plaintiffs' fraud claim. The demurrer to this claim is therefore overruled.

Plaintiffs are granted 30 days' leave to amend. Plaintiffs may only add facts in support

of the successfully challenged claims. (Harris
v. Wachovia Mortgage, FSB (2010) 185 Cal.App.4th 1018, 1023.) If
Plaintiffs decline or fail to file an amended complaint, Defendant shall answer
the operative complaint within 10 days of the lapsed deadline. Any new causes
of action outside the scope of the order may be addressed via a motion to
strike.

Defendant
to give notice.